VALUES ALIGNMENT SERIES · EPISODE 6 COMPANION REPORT

Legal Values Alignment & Grounded Constitutional AI

How law, human reasons, precedent, and public institutions can turn abstract principles into auditable AI behavior.

NEBOQUARK
Research report

10 October 2026
Research synthesis, not legal advice

A constitution is not enough; alignment needs an institution

Legal values alignment asks more than whether a model can recite a rule. It asks whether the system can identify the right authority, interpret it in context, apply it consistently, explain its reasons, defer when legitimacy runs out, and remain correct as the law changes.

Executive summary

Law contributes three distinct resources to AI alignment: **legitimately produced behavioral requirements**, **methods for resolving ambiguity and conflict**, and **institutional designs for accountability**. These resources can complement preference learning, safety policies, and constitutional training; they do not replace them.

Constitutional AI makes a system's normative commitments more explicit and revisable. Grounded Constitutional AI (GCAI) improves the provenance of those commitments by eliciting both broad human values and reasons attached to concrete preferences. Case-law grounding adds a third layer: examples of how principles were interpreted in prior decisions.

The practical target is therefore not “put the law in the prompt.” It is a versioned, jurisdiction-aware, contestable normative stack that separates binding law, organizational policy, user instructions, precedents, and permitted discretion.

Five conclusions

1. **Legal alignment is a floor.** Legality is neither moral optimality nor complete safety.
2. **Provenance matters.** Every norm needs an author, scope, date, authority level, and change history.
3. **Reasons improve grounding.** Preferences alone underdetermine the principle that produced them.
4. **Precedent improves specificity.** Cases show how open-textured norms work in context.
5. **Procedure is part of alignment.** Notice, explanation, appeal, and review are not afterthoughts.

Core design claim: the aligned behavior is not merely the answer. It is the answer plus valid authority, traceable reasoning, calibrated uncertainty, and an available path to challenge or escalate it.

Scope

This report synthesizes current academic work through October 2026 for researchers, product leaders, and governance teams. It focuses on legal values alignment, constitutional methods, GCAI, precedent, evaluation, and operational architecture. It does not determine the law of any jurisdiction or substitute for counsel.

The argument moves from sources of authority to systems of assurance

1. Law contributes three alignment resources 4
Compliance, interpretation, and institutional architecture

2. Constitutional AI makes the specification visible 5
Self-critique, revision, and reinforcement learning from AI feedback

3. Grounding principles in reasons changes the input 6
General values, contextual reasons, clustering, and selection

4. Law must be compiled into a normative stack 7
Authority, jurisdiction, time, facts, exceptions, and remedies

5. Runtime architecture should separate law from discretion 8
Retrieval, interpretation, action, explanation, and escalation

6. Evaluation must cover behavior, reasons, and process 9
Benchmarks, realistic scenarios, adversarial testing, and contestability

7. Precedent operationalizes open-textured principles 10
Case-law grounding, authority filters, and overruling

8. Legitimacy depends on authorship and contestability 11
Public constitutional AI and institutional participation

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Temporal drift, selective precedent, reason laundering, and over-refusal

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Bounded pilot, shadow mode, external review, and staged expansion

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> Legal alignment is best understood as a sociotechnical system: models, sources, procedures, human roles, and remedies working together.

Law contributes rules, methods of reasoning, and blueprints for trust

Kolt, Caputo, and collaborators distinguish three pathways. Their separation is operationally important: each pathway implies different data, training, evaluation, and governance requirements.

01

Content

Design systems to comply with applicable legal rules and principles produced through legitimate institutions.

Technical objects: statutes, regulations, contracts, orders, policies, jurisdiction metadata, effective dates.

02

Interpretation

Adapt legal reasoning methods to handle ambiguity, conflict, novel facts, exceptions, and proportionality.

Technical objects: canons, precedents, burdens, standards of review, structured argument, uncertainty.

03

Structure

Use legal concepts as designs for reliability, cooperation, accountability, and constrained delegation.

Technical objects: fiduciary duties, due process, audit, appeal, separation of functions, remedies.

Why law is attractive

- **Legitimacy:** democratic legal systems provide publicly recognized processes for producing and revising norms.
- **Conflict handling:** law has accumulated methods for balancing competing interests rather than assuming a single value ordering.
- **Context sensitivity:** doctrine links general rules to facts, exceptions, remedies, and procedural posture.
- **Institutional memory:** decisions and precedents record how norms evolved.

Why law is not sufficient

- **Legality can be unjust.** Existing law may encode exclusion, lag social change, or protect power.
- **Law is incomplete.** Many desirable behaviors are not legally required; many safety risks are not yet regulated.
- **Law conflicts.** Jurisdictions, authorities, and legal theories can point in different directions.
- **Compliance can be gamed.** Formal rule-following may defeat a rule's purpose.

Design implication: represent legal alignment as a minimum constraint layer inside a broader pluralistic alignment system. Keep separate fields for “legally permitted,” “organizationally allowed,” “ethically justified,” and “user-preferred.”

Primary synthesis: Kolt, Caputo et al. (2026) [1].

Written principles expose the target, but not who has authority to set it

Constitutional AI replaces part of example-by-example human oversight with an explicit set of natural-language principles. The system critiques and revises outputs against those principles, then can learn from AI-generated preference judgments.

Constitution
Human-authored principles define desired behavior.

›

Self-critique
The model identifies conflicts between a draft and the principles.

›

Revision
The model rewrites the draft to better satisfy the principles.

›

AI feedback
A judge model ranks outputs; preference learning shapes future behavior.

What becomes easier to inspect

- The declared normative specification
- Which principle was invoked
- How edits respond to a critique
- How a constitution changes over time
- Whether evaluators share the same rule set

What remains unresolved

- Who authored and approved the principles
- Which principle wins in conflict
- Whether the model's stated reason caused the decision
- How hidden training signals interact with the text
- How principles apply across jurisdictions and cultures

A legal constitution needs more than moral slogans

Principle field	Why it matters	Example representation
Authority	Separates binding law from guidance or preference	statute / regulation / contract / internal policy
Scope	Limits where and to whom the principle applies	jurisdiction, actor, domain, affected party
Time	Prevents use before effective date or after repeal	effective-from, superseded-by, last-verified
Priority	Supports conflict resolution	hierarchy, exception, mandatory/discretionary
Remedy	Links a violation to response and escalation	block, warn, seek consent, human review, log

Bai et al. (2022) [2]; Abiri (2025) [5].

Preferences underdetermine principles; reasons reveal what the choice meant

Grounded Constitutional AI (GCAI) addresses a basic inference problem. The same observed preference can reflect accuracy, tone, fairness, safety, deference, or a spurious cue. Bell and colleagues therefore combine contextual reasons with general statements of value.

CONTEXTUAL INPUT

Reasons attached to interactions

People compare model responses and explain why one is preferable. The reason narrows the space of plausible principles and captures nuance tied to actual use.

Strength: behaviorally grounded. **Risk:** inherits the prompt distribution and the current model's failure profile.

GENERAL INPUT

Values stated independently

People articulate broader expectations for AI, including concerns that may be rare in everyday interactions but critical when they occur.

Strength: captures prior commitments and tail risks. **Risk:** can remain abstract or socially desirable rather than action-guiding.

Generate
Rephrase reasons and values into candidate principles.

›

Cluster
Embed and group semantically related candidates.

›

Summarize
Form representative principles from cluster centers.

›

Select
Score predictive fit or centrality, then retain a compact set.

Reported finding: study participants preferred the GCAI-derived constitution over an Inverse Constitutional AI baseline and judged it more grounded, coherent, and pluralistic. The authors also report that benchmark differences between constitutions were small, underscoring that constitution quality and downstream behavioral measurement are separate problems.

What legal grounding adds to GCAI

Authority-weighted selection
A widely shared value and a binding right are not interchangeable inputs.

Minority-rights protection
Centrality cannot be the only selection rule when consensus would erase protected claims.

Contestable synthesis
Stakeholders need to inspect clusters, omitted reasons, merges, and principle wording.

Bell et al. (2026) [3].

Law must be compiled, not merely retrieved

Retrieval-augmented generation can surface relevant text, but legal alignment requires a determination that the text is authoritative, applicable, current, and properly interpreted. The system therefore needs a normative compiler before it needs a fluent answer generator.

Constitutional rights	Hard constraints and interpretive commitments; may require balancing rather than simple classification.
Statutes & regulations	Binding rules with jurisdiction, effective dates, definitions, exceptions, and enforcement provisions.
Cases & orders	Authoritative interpretations, factual analogies, holdings, procedural posture, and later treatment.
Contracts & duties	Relationship-specific obligations, delegated authority, loyalty, confidentiality, consent, and remedies.
Organization policy	Risk appetite and operational constraints that may be stricter than law but cannot override it.
User instruction	Task preferences honored only within superior constraints and valid authority.
Model discretion	Residual choice bounded by uncertainty, proportionality, and escalation thresholds.

Every normative object needs provenance

- Exact source and stable identifier
- Issuing institution and authority level
- Jurisdiction and regulated actor
- Effective, repeal, and verification dates
- Dependencies, exceptions, definitions
- Version and change rationale

Every decision needs a conflict protocol

- Identify superior authority
- Detect jurisdictional conflict
- Separate mandatory rules from standards
- Retrieve relevant precedent and negative treatment
- Apply the narrowest sufficient restriction
- Escalate unresolved or high-impact conflicts

Compiler output: not “the law,” but a scoped decision packet containing applicable authorities, facts assumed, unresolved factual questions, controlling exceptions, confidence, and allowed next actions.

Kolt, Caputo et al. (2026) [1]; Chen & Zhang (2025) [4].

Separate retrieval, judgment, action, and review

A single model call hides too many failure modes. A legally aligned runtime should make handoffs explicit, preserve evidence, and reserve high-impact decisions for authorized humans or institutions.

Module	Primary function	Assurance question
1. Context resolver	Infer actor, jurisdiction, domain, affected parties, and requested action.	Do we know enough facts to select the legal regime?
2. Authority retriever	Fetch current, versioned sources and controlling precedent.	Is each source authentic, current, and hierarchically valid?
3. Norm compiler	Build the scoped decision packet and detect conflicts.	Are exceptions and adverse authorities included?
4. Deliberation engine	Apply rules, analogies, proportionality, and burdens to facts.	Are alternatives, uncertainty, and affected interests represented?
5. Action gate	Permit, constrain, refuse, ask, or escalate.	Is the action within delegated authority and risk threshold?
6. Reason interface	Provide a concise, source-linked rationale and assumptions.	Can an affected person understand and challenge the basis?
7. Audit ledger	Record versions, evidence, decisions, overrides, and outcomes.	Can reviewers reconstruct what happened without private chain-of-thought?

Four runtime outcomes

1. **Proceed** - authority and confidence are sufficient.
2. **Proceed with constraints** - the lawful route is narrower than requested.
3. **Clarify or obtain consent** - missing facts or authorization are outcome-determinative.
4. **Escalate or refuse** - risk, ambiguity, or authority exceeds the system's mandate.

Reason-giving without theater

Do not expose unverified internal rationales as if they were causal explanations. Generate an auditable justification from the decision packet: source, rule, material facts, exceptions considered, confidence, and review route.

A plausible explanation that cites the wrong authority is more dangerous than an explicit abstention.

Test the decision, the reason, and the procedure

LegalBench demonstrates the breadth of legal reasoning tasks; SafeLawBench shows how legal standards can structure safety evaluation. Neither, by itself, establishes reliable legal alignment in deployment. The evaluation unit must expand from isolated answers to trajectories and institutions.

Layer	Capability	Behavior	Process	Impact
Question	Can it identify and apply doctrine?	Does it act lawfully under pressure?	Was authority, notice, review, and escalation proper?	Who benefits, bears error, or loses access?
Measures	Recall, issue spotting, interpretation, citation validity	Compliance rate, exception handling, calibration, refusal quality	Source completeness, rationale fidelity, overrideability, latency	Disparate error, burden, remedy success, repeated harm
Stressors	Novel facts, conflicting authorities, obsolete law	Jailbreaks, incentives, multi-step plans, tool use	Missing notice, unavailable appeal, reviewer disagreement	Minority cases, language access, cumulative effects
Evidence	Expert labels and gold authorities	Scenario simulations and red-team traces	Audit logs and process tests	Field monitoring and independent review

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LegalBench tasks
covering six types of legal reasoning and built with legal professionals.

24,860

SafeLawBench multiple-choice items
plus 1,106 open-domain questions, organized using legal safety standards.

68.8%

Mean accuracy across 20 evaluated models in SafeLawBench
with leading reported systems not exceeding 80.5% on the multiple-choice tasks.

Minimum release gate: evaluate on the exact jurisdiction, source snapshot, role, tools, and action types of deployment. A general legal-reasoning score is not a compliance certificate.

Guha et al. (2023) [6]; Cao et al. (2025) [7].

Cases turn broad principles into situated judgments

Case-law grounding uses prior decisions to guide future ones. In experiments across five communities and two decision domains, Chen and Zhang report significant accuracy gains over guideline-only grounding in four groups, for both human and LLM decision-makers.

Why precedent helps

- Preserves context that a short rule omits
- Makes exceptions and boundary cases visible
- Supports analogical rather than purely lexical reasoning
- Creates a traceable history of interpretation
- Enables consistency checks against prior outcomes

Why precedent can mislead

- Wrong jurisdiction or authority level
- Overruled, vacated, or factually obsolete decisions
- Selective retrieval that favors a desired result
- Historical bias reproduced as consistency
- Surface similarity mistaken for legal relevance

A precedent packet should be more structured than a text chunk

Field	Required question	Failure if omitted
Holding	What proposition was necessary to the result?	Dicta may be treated as binding.
Material facts	Which facts drove the legal classification?	Analogy follows topic instead of doctrine.
Authority	Which institution decided, with what force?	Persuasive cases outrank controlling law.
Treatment	Was the decision followed, limited, or overruled?	Stale doctrine appears current.
Counter-cases	What adverse or distinguishable cases exist?	Retrieval becomes confirmation bias.
Protected interests	Whose rights or burdens were considered?	Consistency masks asymmetric harm.

Hybrid rule: retrieve principles and cases together. Principles constrain which similarities matter; cases reveal how those principles were applied. When they conflict, surface the conflict rather than averaging it away.

Chen & Zhang (2025) [4]. Reported gains: 16.0-23.3 percentage points for human-led processes and 20.8-32.9 points for LLM prompting in four of five groups.

A private constitution cannot, by itself, legitimate public power

Abiri's Public Constitutional AI argues that explicit principles are not sufficient when AI systems exercise authority over people. Legitimacy also depends on who participates in writing the rules, how decisions are explained, and whether affected communities can contest and revise them.

From product policy to public institution

A developer-authored constitution can improve transparency relative to implicit preference data. Yet transparency about privately chosen rules is not democratic authorship. The legitimacy demand rises as a system becomes embedded in essential services, public administration, education, health, or access to rights.

Public participation should not be reduced to a one-time survey. Different decisions require different publics: users, affected non-users, domain professionals, rights-holders, regulators, and marginalized groups may have distinct standing.

Four procedural commitments

1. **Participation**
   Representative input before principles are adopted.
2. **Publicity**
   Readable principles, change logs, and known limits.
3. **Contestability**
   Explanations, correction channels, and meaningful appeal.
4. **Revision**
   Scheduled review and response to evidence, law, and social change.

Pluralism needs safeguards against simple majoritarianism

Consensus layer

Widely supported baseline norms, such as avoiding deception or protecting privacy.

Rights layer

Non-derogable or strongly protected claims that cannot be voted away by prevalence alone.

Choice layer

User- or community-configurable values where variation is legitimate and harms are contained.

GCAI plus public law: reasons and values improve the evidence base for a constitution; public procedures determine who has standing, how reasons are weighted, and what constraints protect minorities.

Abiri (2025) [5]; Bell et al. (2026) [3].

The most dangerous failures look legally plausible

A fluent system can cite a real rule and still be wrong about scope, time, authority, facts, remedy, or procedure. Red teams should attack the normative pipeline, not only the final wording.

Failure mode	Attack or test	Control
Jurisdiction laundering	Supply a favorable rule from the wrong state, country, or regulator.	Hard scope metadata and conflict-of-laws check.
Temporal drift	Mix repealed rules, future effective dates, and stale guidance.	Versioned sources, effective-date queries, update alerts.
Authority inversion	Present a blog, dissent, or internal policy as controlling law.	Authority hierarchy and source authentication.
Selective precedent	Retrieve only supportive cases while hiding contrary treatment.	Adversarial retrieval, negative-treatment and counter-case search.
Reason laundering	Generate a source-linked rationale after an unrelated decision path.	Decision-packet consistency checks and counterfactual testing.
Purpose defeat	Formally comply while undermining the protected interest.	Purpose-sensitive evaluation and outcome monitoring.
Over-refusal	Use legal uncertainty to block lawful, beneficial activity.	Narrow tailoring, alternative routes, calibrated escalation.
Majority erasure	Optimize central preferences against minority rights.	Rights floor, subgroup evaluation, protected-interest review.
Automation deference	Human reviewers rubber-stamp confident outputs.	Independent evidence display, blind review samples, override audits.

Release-blocking failures

- Wrong controlling authority
- Untraceable source or version
- High-impact action without review
- Unavailable appeal or correction
- Material subgroup harm

Monitoring signals

- Sudden refusal-rate shifts
- Authority concentration in one source
- Repeated overrides by counsel
- Appeals succeeding on the same issue
- Lag between legal change and system update

Start with one jurisdiction, one role, and one reversible action

The fastest credible path is a narrow pilot with a frozen source snapshot, explicit human authority, and measurable abstention. Breadth should follow evidence, not precede it.

Months 0-2 · Define the mandate

Select one use case and jurisdiction. Map affected parties, legal duties, prohibited actions, escalation owners, and the exact decisions the model may recommend but not execute.

Months 2-4 · Build the normative corpus

Acquire authoritative sources; encode provenance, hierarchy, scope, effective dates, definitions, exceptions, and known conflicts. Establish counsel-reviewed update and deprecation workflows.

Months 4-6 · Elicit the constitution

Combine binding norms with stakeholder reasons and general values. Publish candidate principles, dissenting rationales, selection criteria, and the boundary between law, policy, and preference.

Months 6-8 · Implement shadow mode

Run the layered decision pipeline without acting. Compare decisions and rationales with authorized experts; measure citation validity, calibration, escalation, disagreement, and subgroup performance.

Months 8-10 · Red-team and contest

Attack jurisdiction, time, authority, precedent, incentives, and tool use. Let independent reviewers and affected-user representatives challenge outputs and the constitution itself.

Months 10-12 · Limited deployment

Allow only reversible, low-impact actions with logging and rapid rollback. Define release gates, appeal service levels, external audit access, and triggers that return the system to shadow mode.

Owner map: legal owns authority and interpretation policy; engineering owns provenance and runtime controls; safety owns adversarial testing; product owns user notice and appeal; governance owns change control and independent review.

The frontier is institutional as well as technical

Normative specification

1. Which bodies of law should bind a globally deployed model?
2. How should legal rights interact with user personalization and local community values?
3. Can principle elicitation preserve dissent without producing an unusably large constitution?
4. When should centrality, predictive fit, rights, or deliberation determine principle selection?

Interpretation and discretion

5. Can models distinguish holdings from dicta and track later treatment reliably?
6. How should systems represent standards such as reasonableness, proportionality, or best interests?
7. What is the correct abstention threshold when facts are incomplete but delay also causes harm?
8. How can we test whether a stated legal reason actually shaped the action?

Evaluation and institutions

9. What benchmark designs resist contamination and remain valid as law changes?
10. How should long-horizon agent behavior be audited across tools, subagents, and jurisdictions?
11. Which explanations make appeal possible without exposing private reasoning traces or sensitive data?
12. How should oversight bodies gain access to evidence held by model providers?

Power and legitimacy

13. At what point does a private model become infrastructure that warrants public constitutional constraints?
14. Who represents people affected by a model but not directly using it?
15. Can legal-alignment duties be made enforceable through procurement, licensing, liability, or fiduciary design?
16. How do we prevent legally aligned systems from entrenching unjust law?

> The goal is not an AI lawyer in every loop. It is an architecture in which authority, reasons, discretion, and remedies are explicit enough to govern.

Research priority

Build shared testbeds where computer scientists, legal scholars, domain experts, and affected communities can evaluate the same system against the same versioned authorities and scenario traces. Legal alignment will remain rhetorical until claims can be reproduced across institutions.

The field is converging on provenance, reasons, cases, and institutions

[1] Kolt, N., Caputo, N., Boeglin, J., O'Keefe, C., et al. (2026). *Legal Alignment for Safe and Ethical AI.* Transactions on Machine Learning Research. https://arxiv.org/pdf/2601.04175v2

[2] Bai, Y., Kadavath, S., Kundu, S., et al. (2022). *Constitutional AI: Harmlessness from AI Feedback.* arXiv:2212.08073. https://arxiv.org/abs/2212.08073?context=cs

[3] Bell, H., Neubauer da Costa Schertel, L., Ding, B., & Fain, B. (2026). *Beyond Preferences: Learning Alignment Principles Grounded in Human Reasons and Values.* arXiv:2601.18760. https://arxiv.org/abs/2601.18760v1

[4] Chen, Q. Z., & Zhang, A. X. (2025 revision). *Case Law Grounding: Using Precedents to Align Decision-Making for Humans and AI.* arXiv:2310.07019. https://arxiv.org/abs/2310.07019v3

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[6] Guha, N., Nyarko, J., Ho, D. E., Ré, C., et al. (2023). *LegalBench: A Collaboratively Built Benchmark for Measuring Legal Reasoning in Large Language Models.* NeurIPS 37. https://arXiv.org/pdf/2308.11462

[7] Cao, C., Zhu, H., Ji, J., Sun, Q., et al. (2025). *SafeLawBench: Towards Safe Alignment of Large Language Models.* Findings of ACL 2025. https://aclanthology.org/2025.findings-acl.721/

How to read the evidence

Strongest current contributions

- A field-level taxonomy for legal alignment
- A transparent training paradigm based on principles
- A process for eliciting principles from reasons and values
- Experimental evidence that precedents can improve grounded decisions
- Benchmarks spanning legal reasoning and legal safety

What remains preliminary

- Cross-jurisdiction deployment at scale
- Causal fidelity of generated reasons
- Governance models for constitution authorship
- Long-horizon legal compliance by autonomous agents
- Appeal, remedy, and external audit in production systems

Literature status checked 10 October 2026. Preprints and benchmark results should be interpreted in light of their task design, model set, and version. This report paraphrases and synthesizes the cited work; it does not reproduce source text.

Before calling a system legally aligned, ask for the evidence

Authority

- Applicable jurisdiction identified
- Sources authenticated and versioned
- Hierarchy and conflicts represented
- Effective dates verified

Grounding

- General values and contextual reasons included
- Minority rights protected from centrality bias
- Principle synthesis is inspectable
- Precedents include later treatment and counter-cases

Decision process

- Facts and assumptions explicit
- Exceptions and alternatives considered
- Uncertainty calibrated
- Action stays within delegated authority

Evaluation

- Deployment-specific scenarios
- Adversarial jurisdiction and time tests
- Reason, behavior, process, and impact metrics
- Subgroup and appeal-outcome analysis

Procedure

- Notice and source-linked explanation
- Human escalation for high-impact cases
- Meaningful correction and appeal
- Rapid rollback and incident response

Governance

- Named owners for law, engineering, safety, product, and review
- Published change control
- Independent access to audit evidence
- Triggers for suspension or return to shadow mode

> If the system cannot say which authority applies, why it applies, when it was verified, and how to challenge the result, it is not yet legally aligned.

Companion to Values Alignment Series, Episode 6. Pair this checklist with the architecture and roadmap in pages 8 and 13.